

ACCI–Westpac Survey of Industrial Trends

Australian Chamber of Commerce and Industry & Westpac Banking Corporation

260th report September 2026 (survey conducted from 20 July to 3 September 2026)

- Momentum in Australia's manufacturing sector remained sluggish through Q3, with the Westpac-ACCI Actual Composite edging slightly lower from 50.5 in Q2 to 49.1 in Q3, consistent with a neutral-to-slightly-contractionary reading.
- Manufacturers are contending with numerous headwinds at present. As the Middle East conflict has continued to unfold, the combination of elevated inflation, higher interest rates and lingering uncertainty has made for a more challenging environment for consumer demand and some parts of the construction sector.
- Growth in new orders remained absent in Q3, with a net 2% of respondents reporting a decrease after only a net 1% reported an increase in Q2. Sluggish demand saw a similar net percentage of manufacturers wind back production, reduce headcount and decrease overtime. Manufacturers instead chipped away at existing order backlogs and built up some inventory in anticipation of future increases.
- Spillovers from the Middle East conflict continue to play a significant role when it comes to cost pressures. A net 48% of respondents reported an increase in average unit costs during Q3, barely changed from the net 51% reporting an increase in Q2. Pressures remain particularly acute in sub-sectors with more direct exposure to fuel, fertiliser and other supply chain stresses, including machinery and equipment, fabricated and primary metals, chemicals, wood and furniture.
- Despite persistent cost pressures, the proportion of firms reporting an increase in selling prices fell to a net 24% in Q3. This remained well below the proportion reporting higher average unit costs, suggesting manufacturers continue to absorb part of the increase in costs rather than fully passing them on to customers, placing pressure on margins.
- The Westpac-ACCI Expected Composite rose from 52.7 in Q2 to 57.9 in Q3, indicating improved confidence in future activity. Stronger expectations for new orders and output suggest manufacturers expect the current period of soft demand to be relatively short lived.
- However, while manufacturers may see some light at the end of the tunnel for demand and production, they do not see a significant let-up in cost pressures anytime soon, with a net 43% anticipating a further increase in average unit costs over the next three months. Ongoing margin squeeze is the baseline view among manufacturers, contributing to a weaker outlook for profit growth.
- Manufacturers remain somewhat cautious about their investment plans for the year ahead. On balance, a net 14% of firms intend to increase plant and equipment spending over the next twelve months, while a net 4% intend to increase building investment. While expectations have turned more bullish in some areas, until such outcomes materialise, some level of hesitancy may persist.

Contents

Key Survey Results	4
The Business Cycle & Economic Outlook	5
Activity & Orders	6
Investment & Profitability	7
The Labour Market	8
Prices & Inflation	9
Factors Limiting Production	10
Summary of Survey Results	11



Internet: www.westpac.com.au
Email: economics@westpac.com.au

This report was finalised on 17 September 2026.

The Survey of Industrial Trends produced by the Australian Chamber of Commerce and Industry & Westpac Banking Corporation is a quarterly publication.

It is Australia's longest running business survey dating from 1966, providing a timely update on manufacturing and insights into economy-wide trends.

Enquiries
Economics, Westpac Banking Corporation,
Email: economics@westpac.com.au
Australian Chamber of Commerce and Industry

Editors
Ryan Wells, Economist

Lonergan Research

Net response or "balance" is calculated by the proportion of "ups" less "downs" on individual questions, thereby yielding the net balance. A positive balance indicates a net upward or improving trend and a minus balance a net downward or deteriorating trend.

The 260th consecutive survey was closed on Monday, x September 2026 A total of **413** responses were received, and provided a reasonable cross-section of Australian manufacturing in respect of industry groups and size of operation.

Key Survey Results

Westpac-ACCI Composites (seasonally adjusted)

	Q2 2026	Q3 2026
Actual – composite index	50.5	49.1
Expected – composite index	52.7	57.9

- Momentum in Australia's manufacturing sector remained sluggish in Q3, with the Westpac-ACCI Actual Composite edging slightly lower from 50.5 to 49.1, consistent with a neutral-to-slightly-contractionary reading.
- Underpinning the result were small declines across all of the constituent components: output, new orders, overtime, numbers employed and order backlogs.
- In contrast, the Westpac-ACCI Expected Composite rose from 52.7 in Q2 to 57.9 in Q3, indicating improved confidence in future activity. However, recent history has shown that expectations can run ahead of actual future outcomes for a period of time, and that could remain the case should current headwinds persist.

Westpac-ACCI Labour Market Composite

	Q2 2026	Q3 2026
Composite index	44.7	44.5

- The Labour Market Composite held steady moving into the second half of the year, nudging only slightly lower from 44.7 in Q2 to 44.5 in Q3.
- Results in the Labour Market Composite have foreshadowed the trends in official labour market data for the market sector, where jobs growth started to recover last year and kick into a higher gear earlier this year.
- More recently, the Labour Market Composite has pointed to a renewed slowing in jobs growth momentum. This would be consistent with a moderation in labour demand over the coming quarters as the effects of slower economic growth from high inflation and interest rates continue to weigh on the activity.

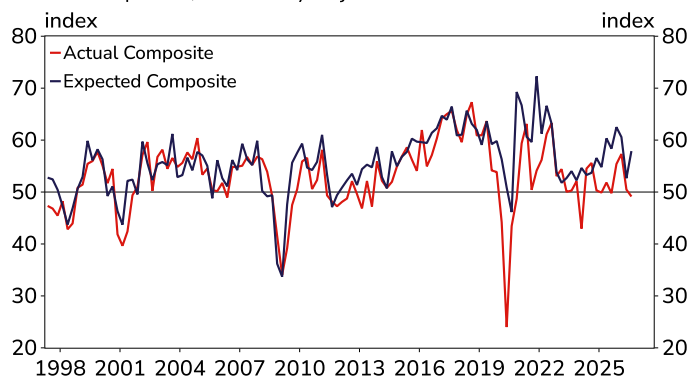
General Business Situation

	Q2 2026	Q3 2026
Net balance	-21	-12

- Manufacturing sentiment about the general business outlook deteriorated sharply last quarter, as manufacturers were confronted with acute cost pressures and a stalling in new orders growth.
- Sentiment remains pessimistic but conditions improved in Q3, with a net 12% of respondents expect the general business situation to deteriorate over the next six months, compared to a net 21% anticipating a deterioration in Q2.
- While manufacturers are expecting an improvement in demand and production near-term, the backdrop of rising costs, higher interest rates and difficulties in sourcing labour will continue to present challenges for businesses.

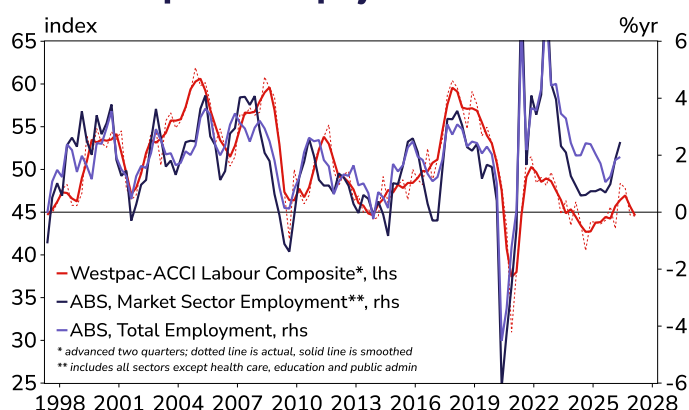
Westpac-ACCI Composite Indexes

Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

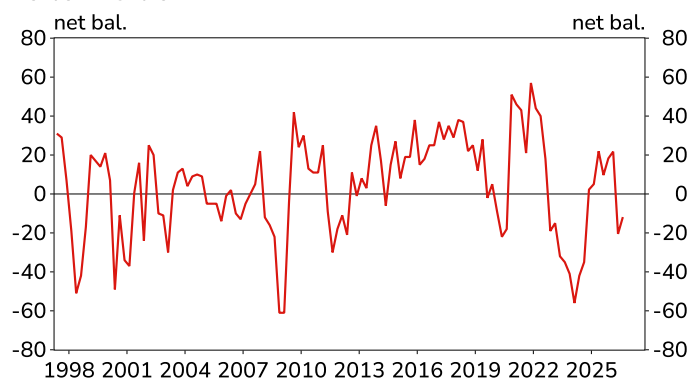
Labour Composite & Employment Trends



Source: ACCI, Westpac Economics, ABS, Macrobond

General Business Situation

Next six months



Source: ACCI, Westpac Economics, Macrobond

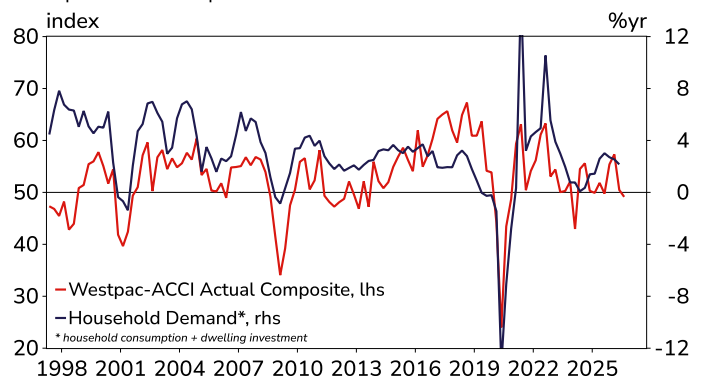
The Business Cycle & Economic Outlook

Manufacturing & the Business Cycle

- The Westpac-ACCI Actual Composite has a solid track record as a timely indicator of near-term domestic economic conditions and turning points in the cycle.
- The Q2 National Accounts showed that growth is slowing but not as rapidly as initially feared. Underneath that is a complex mix of headwinds and tailwinds. There are clear drags coming from higher interest rates, elevated inflation, slowing public investment and the housing market (albeit so far confined to the direct effects from lower housing turnover). However, these are being offset by tailwinds related to firmer business investment, particularly in data centres, energy and related infrastructure.
- This survey suggests softer demand and lingering cost pressures remain a persistent themes that will continue to shape momentum in local manufacturing and the domestic economy over the coming months.

Manufacturing & the Business Cycle

Westpac-ACCI Composite & Household Demand



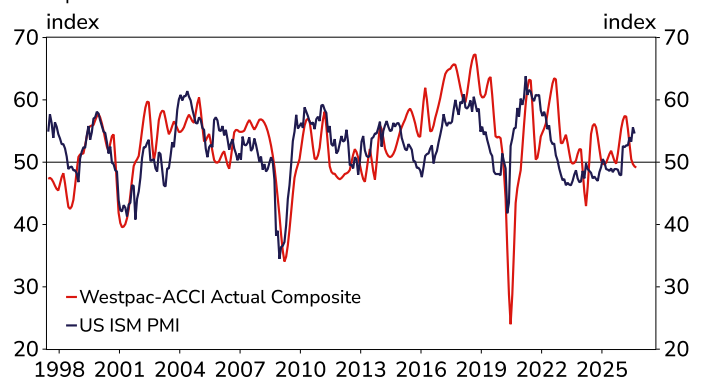
Source: ACCI, Westpac Economics, ABS, Macrobond

Australian & World Manufacturing Surveys

- Global and Australian manufacturing cycles tend to be synchronised, especially at major turning points. The Westpac-ACCI Actual Composite typically moves in line with global manufacturing conditions, albeit with some level of variation within any given cycle.
- However, more recently, trends have started to diverge across the major manufacturing hubs. The US continues to weather the headwinds associated with tariff uncertainty and the US-Iran war, with the ISM PMI at 54.6 in August, firmly in expansionary territory. It is a similar story in Europe, where the S&P Global PMI has risen to 52.7 in August, its highest in many years. Meanwhile, China's manufacturing remains relatively lacklustre, similar to Australia, with the NBS PMI around breakeven territory at 49.8 as of August.

Australian & US Manufacturing Surveys

Westpac-ACCI & Global PMI Indexes



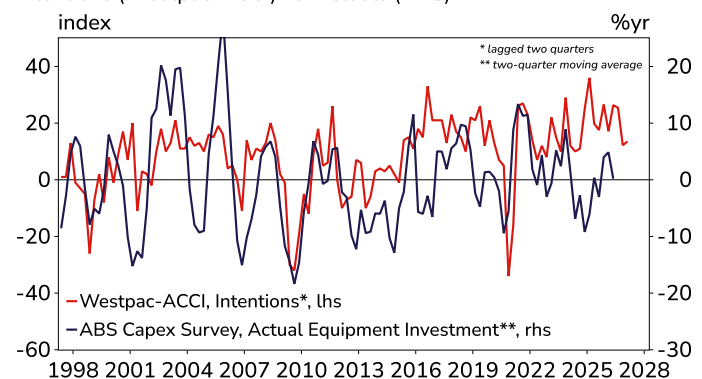
Source: ACCI, Westpac Economics, ISM, Macrobond

Manufacturing & Business Investment

- The ACCI-Westpac survey has historically provided a broad gauge on equipment spending trends in the manufacturing sector. However, actual spending has persistently underperformed the investment intentions in this survey, suggesting that some plans are failing to materialise.
- Official data had been turning more constructive, but momentum looks to have slipped once again. The National Accounts showed that an investment pulse is underway in Australia, but it is being chiefly driven by a few sectors – particularly data centres and renewables. Outside of these sectors, growth in equipment spending is more subdued.
- Ongoing uncertainty surrounding the Middle East conflict, together with elevated cost pressures, higher interest rates and a subdued demand outlook are likely to remain a headwind for investment.

Manufacturing Equipment Investment

Intentions (Westpac-ACCI) vs. Actuals (ABS)



Source: ACCI, Westpac Economics, Macrobond

Activity & Orders

Output (seasonally adjusted)

	Q2 2026	Q3 2026
Actual – net balance	5	–2
Expected – net balance	14	26

- After slowing materially last quarter, output took another step lower in Q3. A net 2% of firms reported a decrease in output, the first decline in a year.
- Demand remained sluggish during the quarter, leading manufacturers to chip away at existing order backlogs and build up some inventory in anticipation of future increases.
- Looking ahead, a net 26% of firms expect an increase in output over the next three months, suggesting the current soft patch is expected to only be temporary. However, it is important to note that expectations have been more bullish than actual future outcomes over the past two years.

New Orders (seasonally adjusted)

	Q2 2026	Q3 2026
Actual – net balance	1	–2
Expected – net balance	7	20

- Growth in new orders remained sluggish in Q3, with a net 2% of respondents reporting a decrease, easing from a net 1% reporting an increase in Q2.
- As the Middle East conflict continues, the combination of elevated inflation, higher interest rates and lingering uncertainty has made for a more challenging environment for consumer demand and some parts of the construction sector.
- Manufacturers expect growth in new orders to improve over the next three months, with a net 20% anticipating an increase. Whether these expectations will be met given the challenging backdrop is a key question.

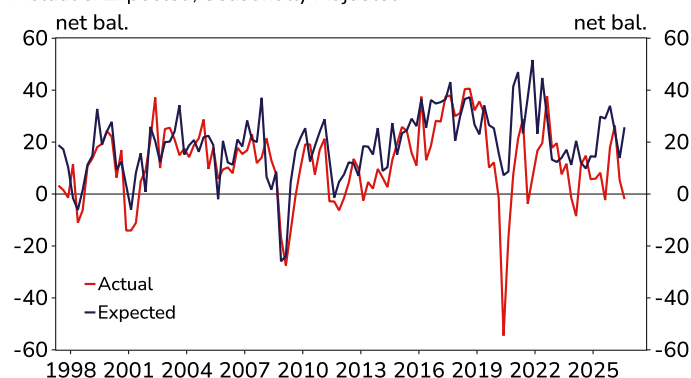
Exports

	Q2 2026	Q3 2026
Actual – net balance	9	8
Expected – net balance	11	12

- Growth in manufacturing exports were broadly stable moving into the second half of the year, with a net 8% of firms reporting an increase in Q3, following Q2's net 9%.
- Demand from our Asian trading partners have continued to support processed food and agriculture exports. However, a firmer AUD and uncertainty from the Middle East conflict would have dampened growth in the quarter. US tariff risks meanwhile remain a wildcard, although fortunately, it has had little overall impact to date.
- Expectations have cooled compared to earlier in the year but they remain positive, with a net 12% expecting an increase in exports over the next three months.

Output

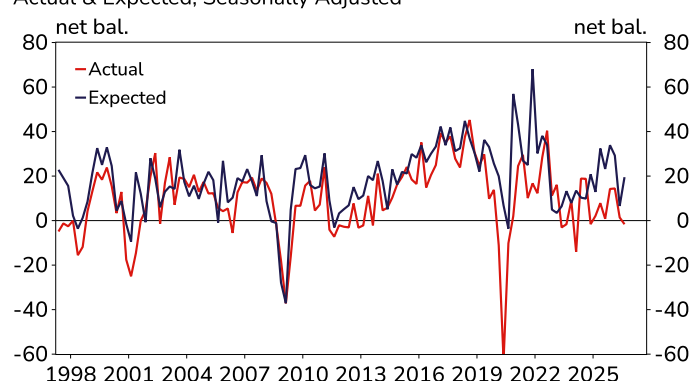
Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

New Orders

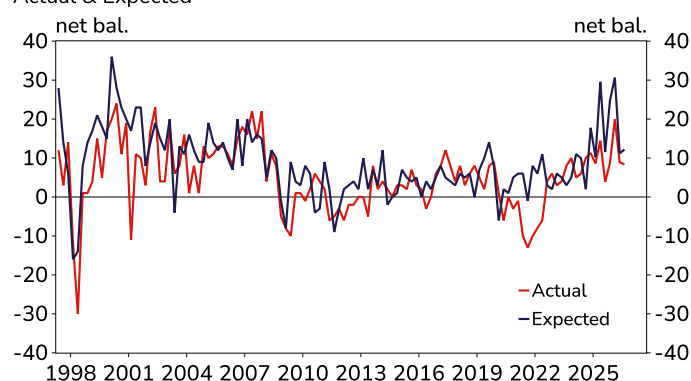
Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

Export Deliveries

Actual & Expected



Source: ACCI, Westpac Economics, Macrobond

Investment & Profitability

Investment Intentions

	Q2 2026	Q3 2026
Plant & Equipment – net balance	12	14
Building – net balance	-1	4

- Manufacturers turned more cautious about their investment plans for the year ahead, following the onset of the Middle East conflict.
- That broadly remained the case in Q3, though investment intentions were still positive. On balance, a net 14% of firms intend to increase plant and equipment spending over the next twelve months, while a net 4% intend to increase building investment.
- There remains a significant degree of uncertainty around the economic outlook. Expectations for production and orders have turned more bullish, but until such outcomes materialise, some level of hesitancy might persist.

Capacity Utilisation

	Q2 2026	Q3 2026
Net balance	-2	-10

- Capacity utilisation has quickly swung from a period of overutilisation earlier this year, prior to the onset of the Middle East conflict, back toward underutilisation.
- In the latest survey, fewer firms reported operating at above average capacity (23% to 18%) with more firms reporting that they were operating at below average capacity (25% to 28%). This saw an increase in the net balance of firms reporting capacity underutilisation, up from 2% in Q2 to 10% in Q3.
- This is still a fairly robust result. Over the full history of the survey, manufacturers have tended to report a larger degree of underutilisation, especially during cycles characterised by slower growth and/or higher interest rates.

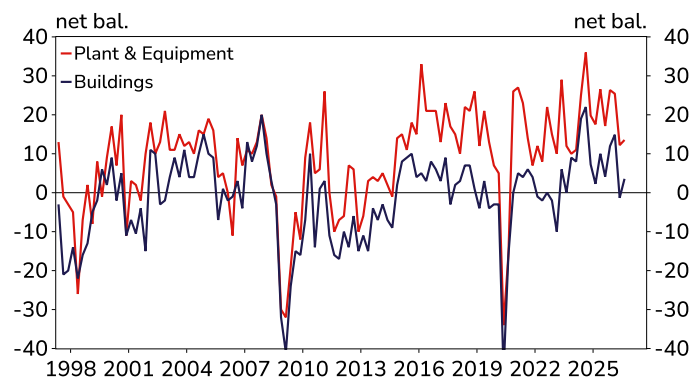
Profit Expectations

	Q2 2026	Q3 2026
Net balance	9	10

- Profit expectations took a substantial hit last quarter, reflecting a combination of surging cost pressures, higher interest rates and the onset of the Middle East conflict. This saw a sharp increase in cost pressures and substantial uncertainty around the outlook.
- With these headwinds persisting, the outlook for profits was little changed. Only a net 10% of firms expect an improvement in profits over the coming year, below the historic average of a net 19%.
- While manufacturers are anticipating an improvement in new orders over the coming months, cost pressures are also expected to remain acute, compressing margins.

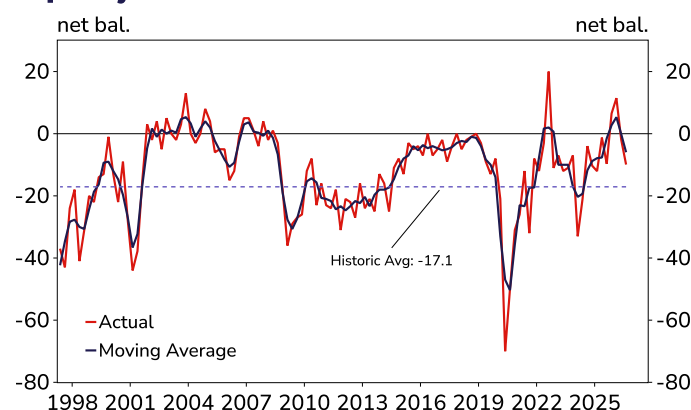
Investment Intentions

Next twelve months



Source: ACCI, Westpac Economics, Macrobond

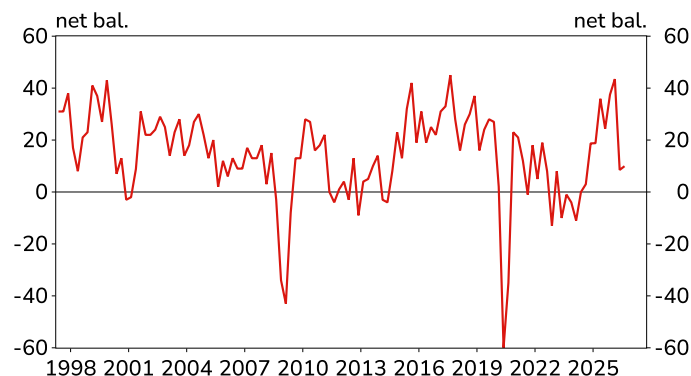
Capacity Utilisation



Source: ACCI, Westpac Economics, Macrobond

Profit Expectations

Next twelve months



Source: ACCI, Westpac Economics, Macrobond

The Labour Market

Numbers Employed (seasonally adjusted)

	Q2 2026	Q3 2026
Actual – net balance	–4	–2
Expected – net balance	4	7

- Employment dynamics in the manufacturing sector remain sluggish. A net 2% of firms reported a decline in the size of the workforce in Q3, following on from a net 4% also reporting a pull-back in Q2.
- Manufacturers were confronted with a stagnation in new orders growth and pull-back in production during the quarter, providing little scope to increase headcount.
- Over the next three months however, a net 7% of firms expect to increase headcount. While modest, the expected lift in employment coincides with manufacturers' expectations for a rebound in new orders and production over the coming months.

Overtime Worked (seasonally adjusted)

	Q2 2026	Q3 2026
Actual – net balance	0	–3
Expected – net balance	–4	5

- Manufacturers' use of overtime deteriorated further in Q3, with a net 3% reporting a decline, in line with expectations from the prior quarter.
- Hours worked usually adjusts more quickly to shifts in demand conditions than employment. The fact that both eased materially at the same time points to a more abrupt cooling in labour demand within the sector.
- Manufacturers anticipate a modest improvement in overtime usage over the coming three months, with a net 5% expecting an increase. If manufacturers' expectations for demand crystallise, some increase in overtime would be required to avoid building up order backlogs.

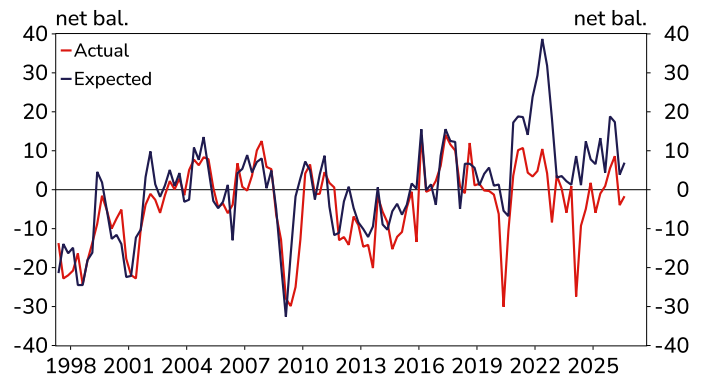
Difficulty of Finding Labour (seasonally adjusted)

	Q2 2026	Q3 2026
Net balance	18.2	28.3

- Historically, firms' views on the difficulty of finding labour tracks shifts in the Australian unemployment rate, albeit with some variation between cycles depending on the industry mix of employment growth.
- In Q3, a larger share of manufacturers reported difficulty in sourcing labour, with a net 28.3% indicating labour was "harder to find" compared to three months ago.
- Overall jobs growth has held up well so far this year, but the spill overs from the Middle East conflict and recent interest rate rises are expected to weigh on jobs growth over the coming months.

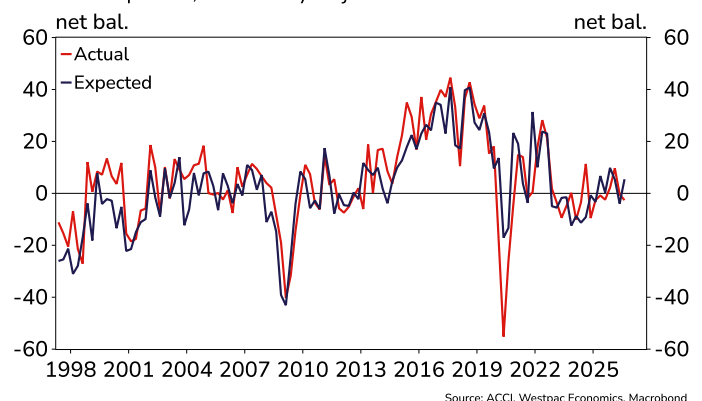
Numbers Employed

Actual & Expected, Seasonally Adjusted

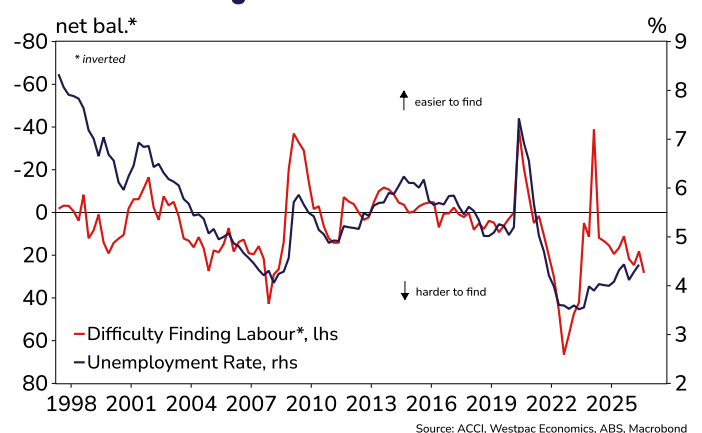


Overtime Worked

Actual & Expected, Seasonally Adjusted



Labour Market Tightness



Prices & Inflation

Average Unit Costs

	Q2 2026	Q3 2026
Actual – net balance	51	48
Expected – net balance	54	43

- Manufacturers are grappling with acute cost pressures as the supply shock stemming from the Middle East continues to impact. In Q3, a net 48% of firms reported a rise in average unit costs.
- Sub-sectors with more direct exposure to fuel, energy intensive goods such as fertilisers, plastics and metals are reporting more acute pressure, including machinery and equipment, fabricated and primary metals, chemicals, wood and furniture.
- Manufacturers do not see a significant let-up in cost pressures near-term, with a net 43% anticipating a further increase in average unit costs over the next three months.

Average Selling Prices

	Q2 2026	Q3 2026
Actual – net balance	30	24
Expected – net balance	43	27

- Despite persistent unit cost pressures, the proportion of firms reporting an increase in selling prices fell slightly during Q3, to a net 24%.
- This was well below the net 48% reporting an increase in average unit costs over the same period. It also fell well short of manufacturers' own expectations from last quarter, implying margins are being squeezed as firms only partially pass through higher costs onto customers.
- Manufacturers expect only partial pass-through of higher costs to customers will remain the case over the next few months, with a net 27% expecting to increase selling prices.

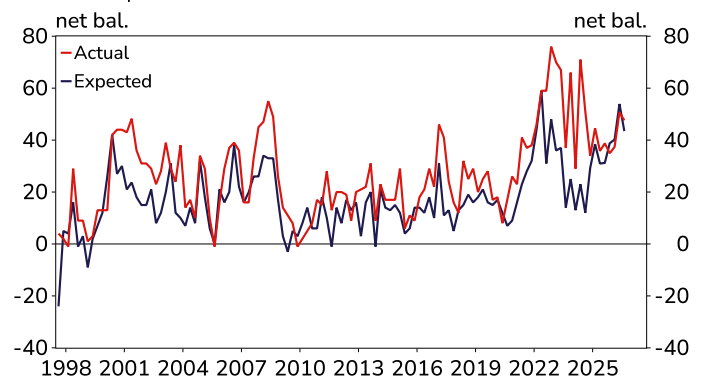
Manufacturing Wages

	Q2 2026	Q3 2026
Net balance	32	31

- Results around wage expectations in the manufacturing sector were broadly unchanged versus last quarter, with a net 31% indicating they expect their next enterprise wage agreement to deliver an outcome above the last.
- The survey suggests no real step-change in expectations following the Fair Work Commission's 2026 Annual Wage Review, which announced a larger-than-expected 4.75% increase in award wages in Q2, to be implemented during Q3. Expectations are still elevated, and this may compound existing non-labour cost pressures for many manufacturers.
- Consistent with this survey, official ABS data points to a turnaround in the wages growth trend, up to 3.3%yr in Q2, slightly outstripping the national average of 3.2%yr.

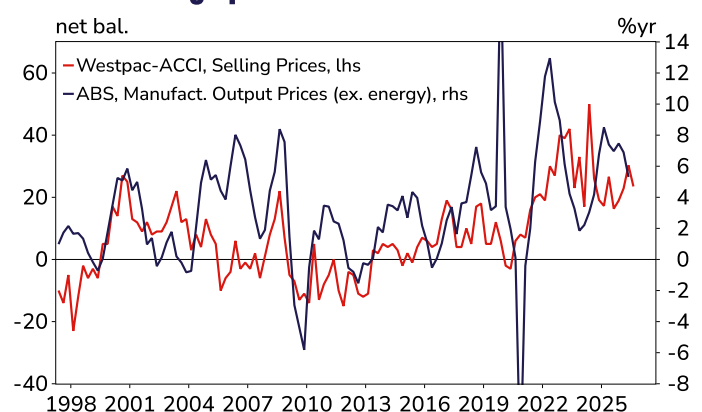
Average Unit Costs

Actual & Expected



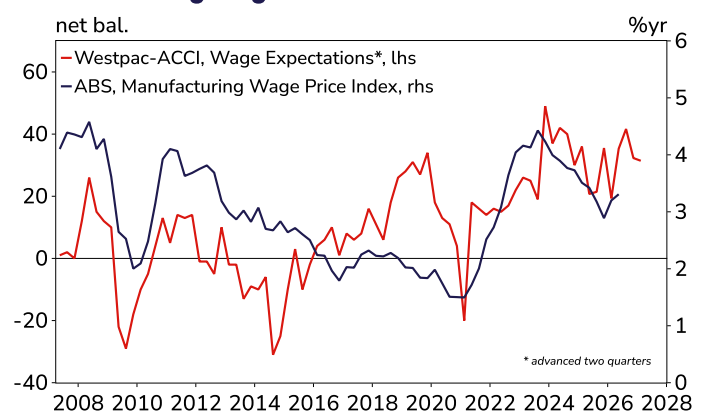
Source: ACCI, Westpac Economics, Macrobond

Manufacturing Upstream Price Pressures



Source: ACCI, Westpac Economics, ABS, Macrobond

Manufacturing Wage Growth



Source: ACCI, Westpac Economics, ABS, Macrobond

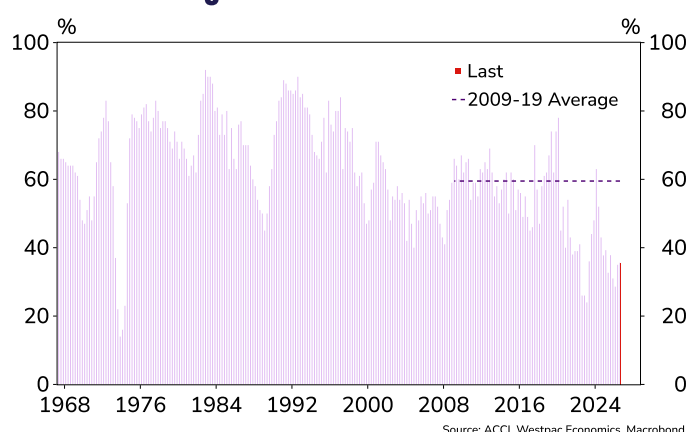
Factors Limiting Production

- **Orders** remain an important constraint on production – a lack of demand saw 36% of respondents cite this as the single factor most limiting production. However, this is still well below historical averages, showcasing the relative importance of other supply-side limitations currently.
- **Labour** remains a clear example, with 20% citing it as the primary constraint in Q3, above Q2's 17% and well above the pre-pandemic average. Difficulties in sourcing labour remains a persistent theme.
- **Material** shortages appear to have eased, with the proportion of respondents citing it as the most limiting factor down from 14% to 8%. While off its recent highs, it is still well above the pre-pandemic average.
- **Capacity** dipped slightly to 8% in Q3, but the proportion of respondents citing **None** has steadily risen over recent quarters, up to 11% in Q3, suggesting that despite recent disruptions and volatility, a decent portion of manufacturers' production is returning back to some kind of 'norm'.

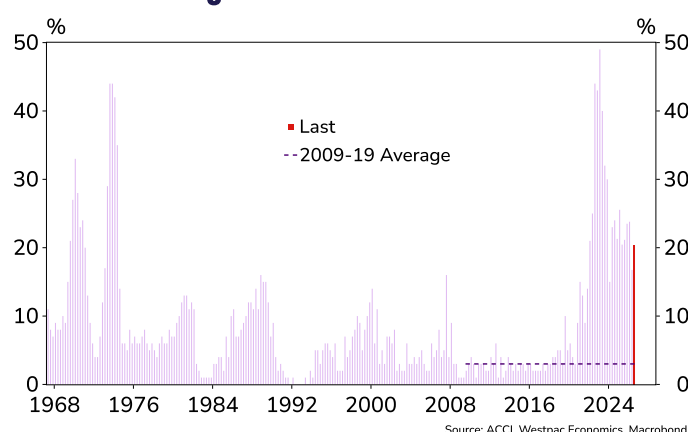
Single Factor Most Limiting Production

	Q1 2026	Q2 2026	Q3 2026
Orders (%)	29	35	36
Capacity (%)	11	10	8
Labour (%)	24	17	20
Finance (%)	12	10	12
Materials (%)	12	14	8
Other (%)	4	5	5
None (%)	8	9	11

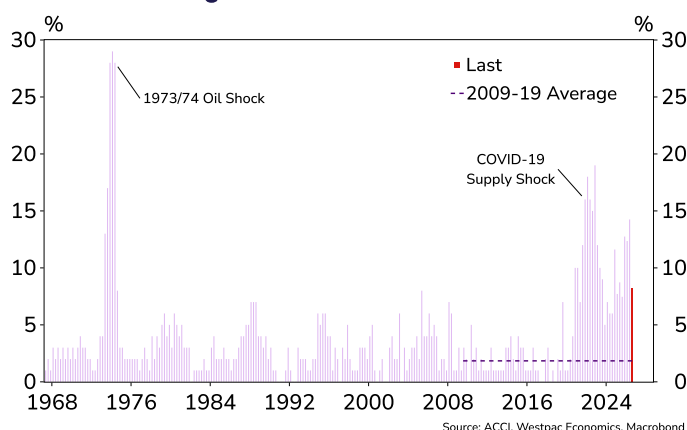
Factors Limiting Production: Orders



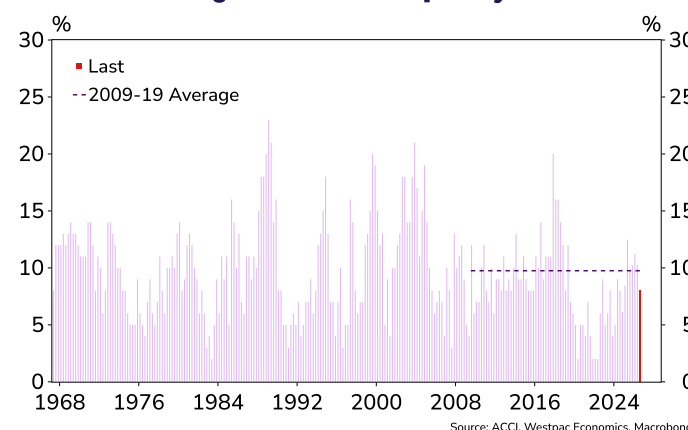
Factors Limiting Production: Labour



Factors Limiting Production: Materials



Factors Limiting Production: Capacity



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Summary of Survey Results (not seasonally adjusted)

1. Do you consider that the general business situation in Australia will improve, remain the same, or deteriorate in the next six months?

Net balance	Improve	Same	Deteriorate
-12	24	40	36

2. At what level of capacity utilisation are you working?

Net balance	Above Normal	Normal	Below Normal
-10	18	53	28

3. What single factor is most limiting your ability to increase production?

None	11	Orders	36
Materials	8	Finance	12
Labour	20	Capacity	8
Other	5		

4. Do you find it is now harder, easier, or the same as it was three months ago to get:

		Net balance	Harder	Same	Easier
(a)	labour?	29	38	53	9
(b)	finance?	23	30	62	7

5. Do you expect your company's capital expenditure during the next twelve month to be greater, the same, or less than the past year:

		Net balance	Greater	Same	Less
(a)	on buildings?	4	30	45	26
(b)	on plant & machinery?	14	37	40	23

Excluding normal seasonal changes, what has been your company's experience over the past three months & what changes do you expect during the next three months in respect of:

	Change in position in the last three months				Expected change during the next three months			
	Net balance	Up	Same	Down	Net balance	Up	Same	Down
6. Numbers employed	-3	20	57	23	9	26	58	16
7. Overtime worked	-6	23	48	29	3	24	55	21
8. All new orders received	-1	29	41	30	18	38	43	19
9. Orders accepted but not yet delivered	-1	22	55	23	7	26	55	19
10. Output	3	29	45	26	21	38	44	17
11. Average costs per unit of output	48	55	37	8	43	50	43	7
12. Average selling prices	24	39	47	15	27	37	53	10
13. Export deliveries	8	28	53	19	12	31	51	18
14. Stock of raw materials	7	27	52	20	17	32	53	15
15. Stocks of finished goods	9	27	55	18	13	31	50	19

Summary of Survey Results (not seasonally adjusted)

16. Over the next twelve months do you expect your firm's profitability to:

(a) Improve?	39
(b) Remain unchanged?	32
(c) Decline?	29
Net balance	10

17. Do you expect your firm's next wage enterprise deal will produce annual rises which vis-à-vis the previous deal are:

(a) Greater?	42
(b) Same?	48
(c) Less?	10
Net balance	31

A. Industry profile of survey:

	(% of respondents)
Food Product Manufacturing	21
Beverage and Tobacco Product Manufacturing	2
Textile, Leather, Clothing and Footwear Manufacturing	4
Wood Product Manufacturing	5
Pulp, Paper and Converted Paper Product Manufacturing	1
Printing (including the Reproduction of Recorded Media)	4
Petroleum and Coal Product Manufacturing	2
Basic Chemical and Chemical Product Manufacturing	8
Polymer Product and Rubber Product Manufacturing	3
Non-Metallic Mineral Product Manufacturing	3
Primary Metal and Metal Product Manufacturing	9
Fabricated Metal Product Manufacturing	9
Transport Equipment Manufacturing	2
Machinery and Equipment Manufacturing	16
Furniture and Other Manufacturing	4
Other	6

B. How many employees are covered by this return?

1-99	100-199	200-999	1000 or more
52	21	15	12

C. In which state (or states) is the main production to which this return relates? *

WA	SA	VIC	NSW	QLD	TAS	ACT/NT
12	9	31	30	17	3	1

In Questions 1-17, non-responses are excluded from net balance calculations and note that percentages might not add up to 100% due to rounding.

* In the state breakdown, note that percentages might not add up to 100% due to overlap.

The Westpac-ACCI Composite Indices

The Westpac-ACCI Actual and Expected Composite indices are weighted averages of the activity measures in the survey. The weights are as follows: employment 20%; new orders 30%; output 25%; order backlog 15%; overtime 10%.

The Westpac-ACCI Labour Market Composite is a function of actual employment, with a weight of almost 50%, as well as: expected employment; expected overtime; new orders; order backlog; and expected order backlog.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia
E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy here](#), or the Australian [Group Privacy Statement here](#). Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously

with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access [Westpac's Financial Services Guide here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ►

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ("WCM"), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586).

The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order); (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.